# Green & Social Claims Risk Triage

## Methodology note - Hostable v33

This methodology note explains how the tool performs a first-pass triage of green and social claims. It is designed for claim governance, prioritisation and further substantiation. It does not issue a legal opinion and does not conclude that greenwashing or social washing has occurred.

# 1. Scope and intended use

The tool reviews company websites, product pages, brochure or folder pages, sustainability pages and report-style pages. It identifies potentially sensitive claim wording, checks whether claim-specific evidence appears in the reviewed text, considers external public-source context when search credentials are configured, and applies sector exposure as a baseline sensitivity factor.

The output is most useful when the scanned page contains actual external claim wording. Generic homepages may return lower-confidence results. For a stronger review, scan product, sustainability, supplier, human-rights, climate, responsible sourcing or brochure pages directly.

# 2. Regulatory and standards lenses

| Lens | How it is used in the tool |
|---|---|
| Directive (EU) 2024/825 / EmpCo | Green-claims triage for consumer-facing commercial communications. The tool flags generic environmental claims, climate-neutrality or offsetting claims, sustainability labels, future environmental-performance claims, comparative environmental claims and circularity/recyclability/durability wording. |
| Unfair Commercial Practices Directive logic | Used as the underlying consumer-protection frame for misleading commercial practices and environmental claims in B2C communication. |
| Regulation (EU) 2024/3015 / Forced Labour Regulation | Used as a social-claims lens for product, supplier, import/export, responsible sourcing, modern slavery and forced-labour-free wording. The tool checks whether wording implies product or supply-chain assurance that would need traceability, risk assessment, mitigation, remediation and response readiness. |
| UN Guiding Principles on Business and Human Rights, OECD Guidelines, ILO concepts | Used as broader references for social-claim substantiation: stakeholder scope, due diligence, grievance mechanisms, remedy, worker voice, supplier controls and credible implementation evidence. |
| CSRD/ESRS and sustainability reporting logic | Used mainly as evidence-source context for investor/stakeholder reports. Reporting documents can substantiate claims but are not treated the same as consumer-facing marketing wording. |

# 3. Audience classification

The tool distinguishes consumer-facing or commercial communication from investor/stakeholder reporting. EmpCo relevance is highest for consumer-facing websites, product pages, campaign pages, brochures and folders. Annual reports, sustainability reports and ESG reports are primarily treated as evidence sources, although claims from those documents can still be relevant if reused in marketing or consumer communication.

| Audience category | Examples | Interpretation |
|---|---|---|
| Consumer-facing / commercial communication | Product pages, campaign pages, folders, brochures, service pages, customer-facing websites | Highest EmpCo relevance; wording should be specific, scoped, substantiated and not generic or absolute. |
| Investor / stakeholder report | Annual report, sustainability report, ESG report, CSRD/ESRS-related content | Mainly evidence source; useful to verify whether external claims are backed by data, governance and limits. |
| Mixed or unclear | Homepage or corporate website with both marketing and reporting language | Treat market-facing or customer-facing statements as higher sensitivity than purely reporting language. |

## 4. Claim taxonomy

The tool classifies claims by dimension and claim type. The taxonomy is intentionally practical and designed for triage rather than legal classification.

| Dimension | Claim type examples | Typical evidence expected |
|---|---|---|
| Green | Generic environmental, sustainable, eco-friendly, climate neutral, carbon neutral, net zero, offsetting, recyclable, recycled, circular, repairable, durable, lower impact, certified, future target claims | Scope, product coverage, methodology, baseline, percentage or KPI, verification, limits, certification scheme, emissions scopes, transition plan or LCA-related evidence where relevant. |
| Social | Human rights, labour rights, living wage, worker welfare, health & safety, diversity/inclusion, customer fairness, community impact, responsible sourcing, ethical supplier claims | Stakeholder scope, KPI, reporting period, policy implementation, audit/assessment methodology, grievance/remedy, supplier tier coverage, corrective actions, workforce/customer data. |
| Forced-labour social lens | Forced-labour-free, modern-slavery-free, traceable supply chain, responsible sourcing, product import/export and supplier assurance wording | Product and supplier traceability, country/product risk assessment, mitigation, remediation, escalation, withdrawal/customs response readiness and governance ownership. |

## 5. Scoring model

Green and social scores are calculated separately on a 0-100 triage scale. The global score combines both dimensions. The model is intentionally conservative: sector exposure alone should not create a high-risk result. A high-risk result normally requires sensitive wording, an evidence gap and relevant contradictory context.

| Component | Weight | Meaning |
|---|---|---|
| Claim wording risk | 30% | Risk from broad, absolute, generic, comparative, reassurance-based or sensitive wording. |
| Substantiation / evidence-gap risk | 30% | Risk from missing scope, methodology, KPIs, verification, limits, grievance/remedy, supplier coverage, traceability or implementation evidence. |
| External contradictory-context risk | 25% | Risk from public-source signals such as regulator action, litigation, NGO reports, complaints, controversies, investigations or media reports that align with the claim area. |
| Sector exposure | 15% | Baseline sensitivity for sectors more prone to greenwashing or social-washing allegations due to consumer-facing claims, emissions, product impacts, labour intensity, complex supply chains or vulnerable stakeholders. |

The global score is an integrated green/social claims score. Consumer-facing pages may slightly increase the relevance of the green/social claim analysis because the regulatory and reputational sensitivity of external claims is higher.

## 6. Sector exposure

Sector exposure is not a judgment on the company. It is a risk-context variable. Some sectors are structurally more exposed because claims are more visible, consumers rely on them, supply chains are complex, environmental impacts are material, or social impacts affect workers, customers, suppliers or communities.

| | |
|---|---|
| Higher green-claims exposure | Energy, aviation, transport, chemicals, manufacturing, food, apparel, consumer goods, retail, finance products with sustainability positioning. |
| Higher social-claims exposure | Apparel, food retail, agriculture, platform/delivery, outsourcing, commodities, financial services with customer-protection claims, sectors with migrant/seasonal labour or complex suppliers. |
| How exposure is used | Sector exposure adjusts baseline sensitivity only. It should be read together with actual claim wording, evidence quality and external-source signals. |

## 7. Evidence evaluation

The tool gives evidence credit only for indicators found in the reviewed website or document text. It looks for concrete substantiation indicators such as percentages, dates, KPIs, methodologies, standards, verification, assurance, audit coverage, grievance mechanisms, corrective-action closure, supplier tier coverage, emissions scopes, baselines and implementation plans.

Weak evidence such as generic policy references or broad commitments can reduce concern slightly, but it does not substitute for claim-specific substantiation.

## 8. External public-source layer

When search credentials are configured, the tool performs targeted searches for green and social contradiction signals. Sources are retained as review signals, not as verified facts. The user should manually verify relevance, date, source quality, company identity and whether the signal relates to the same claim area.

| External signal type | Examples |
|---|---|
| Green | Greenwashing allegations, advertising regulator decisions, carbon-neutrality or offsetting complaints, litigation, misleading sustainability labels, questionable recyclable or lower-impact claims. |
| Social | Labour-rights allegations, human-rights issues, supplier controversies, discrimination or customer fairness cases, NGO reports, regulator findings, modern-slavery or forced-labour product/supply-chain concerns. |

## 9. Output interpretation

| Risk band | Interpretation |
|---|---|
| Low | No clear washing signal or only limited claim-risk indicators in the reviewed material. Maintain evidence files and approval records. |
| Medium | Potentially overbroad or insufficiently substantiated claims. Review wording, evidence and audience before publication or reuse. |
| High | Sensitive wording plus significant evidence gap and/or relevant contradictory context. Escalate for legal/compliance and claim-governance review before external reuse. |

## 10. Limitations

This tool is an indicative screening aid. It can miss claims if a website blocks crawlers, if relevant material is in images or PDFs that cannot be parsed, or if the claim appears outside the reviewed pages. External-source results depend on available search credentials and snippets. The tool does not replace legal analysis, assurance, sustainability expertise, product testing, human-rights due diligence or formal compliance assessment.

References used in the methodology: Directive (EU) 2024/825; Regulation (EU) 2024/3015; Unfair Commercial Practices Directive framework; UN Guiding Principles on Business and Human Rights; OECD Guidelines for Multinational Enterprises; ILO forced labour concepts; CSRD/ESRS reporting logic.